AI-Driven Loan Underwriting Report

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Confidential Commercial Underwriting Report — FinacPlus Credit Division

1. Loan Application Summary

Field	Value
Property Address	1247 Oakwood Drive, Atlanta, GA 30308
Borrower Name	Meridian Capital Investments LLC
Loan Amount	285000.0
Purchase Price	220000.0
As-Is Property Value	235000.0
After Repair Value (ARV)	375000.0
Rehabilitation Budget	95000.0

2. Document Classification

Completeness: 26.7% | Documents uploaded: 4

Document	Category	Confidence	Method
appraisal_sample.pdf	Appraisal	75%	keyword
loan_application_sample.pdf	Loan Application	92%	keyword+llm
purchase_contract_sample.pdf	Purchase Contract	75%	keyword
term_sheet_sample.pdf	Term Sheet	75%	keyword

3. Financial Calculations

Metric	Value	Threshold
As-Is LTV	121.28%	≤ 80%
ARV LTV	76.00%	≤ 75%
Loan-to-Cost (LTC)	90.48%	≤ 90%
Total Project Cost	$315,000	—
Borrower Equity	$30,000	> $0

Risk Flags:

- ■■ HIGH As-Is LTV: 121.3% (threshold: 80%)
- ■■ HIGH ARV LTV: 76.0% (threshold: 75%)
- ■■ HIGH LTC: 90.5% (threshold: 90%)

4. Validation & Consistency Issues

Severity	Code	Description
WARNING	MISSING_RECOMMENDED_DOC	Recommended document not found: Scope of Work
WARNING	MISSING_RECOMMENDED_DOC	Recommended document not found: Title Commitment
WARNING	MISSING_RECOMMENDED_DOC	Recommended document not found: Insurance Binder
WARNING	MISSING_RECOMMENDED_DOC	Recommended document not found: Credit Report
WARNING	MISSING_RECOMMENDED_DOC	Recommended document not found: Bank Statement
WARNING	MISSING_RECOMMENDED_DOC	Recommended document not found: Flood Certificate
WARNING	MISSING_RECOMMENDED_DOC	Recommended document not found: Operating Agreement
WARNING	MISSING_RECOMMENDED_DOC	Recommended document not found: Certificate of Good Standing
WARNING	MISSING_RECOMMENDED_DOC	Recommended document not found: Government ID
WARNING	MISSING_RECOMMENDED_DOC	Recommended document not found: Borrower Track Record
WARNING	MISSING_RECOMMENDED_DOC	Recommended document not found: Background Check
WARNING	MISSING_CREDIT_SCORE	Could not extract: Credit Score
WARNING	MISSING_BANK_BALANCE	Could not extract: Bank Balance / Liquidity
ERROR	EXCESSIVE_AS_IS_LTV	As-Is LTV of 121.3% exceeds maximum (85%)

5. AI/ML Loan Recommendation

Decision: DECLINE

Model Confidence: 80.0%

Decision Category	Probability
DECLINE	80.0%
CONDITIONAL_APPROVAL	11.0%
APPROVE	9.0%

Key Factors Influencing Decision:

Factor	Importance
Doc Completeness Pct	21.6%
Bank Balance Ratio	20.5%
Arv Ltv	13.0%
Credit Score	11.9%
As Is Ltv	10.4%

Underwriter Explanation:

The loan request we're reviewing has been declined with a decision confidence of 80.0%. The primary reason for this decision is the high As-Is Loan-to-Value (LTV) ratio of 121.3%. This means that the borrower is seeking a loan that is more than 21% higher than the value of the property, which is a significant risk for the lender. Our model has flagged this as a major concern, and it's the primary factor driving the decline decision.

While the borrower has a good credit profile, with 5 years of experience, and has provided a significant amount of equity ($30,000), these strengths are not enough to overcome the high LTV ratio. The borrower's equity contribution is substantial, but it's not enough to mitigate the risk associated with the high LTV. Additionally, the borrower's bank balance is not available, which is another concern.

The loan analysis also highlights several document issues, with a total of 14 issues found. While none of the required documents are missing, the sheer number of issues suggests that the borrower may not have provided a complete or accurate application. Our model has also flagged the ARV LTV ratio as a concern, but it's not as significant as the high As-Is LTV ratio.

Given the high risk associated with this loan request, we cannot approve it in its current form. However, if the borrower is willing to address the high LTV ratio, we may consider revisiting the application. This could involve providing additional equity or reducing the loan amount to bring the LTV ratio down to a more manageable level. We would need to see a revised application with updated financial information and a more detailed explanation of how the borrower plans to address the high LTV ratio.

Quantitative risk score derived from multi-variable Random Forest classifier.

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6. Human Review Requirements

- Resolve: As-Is LTV of 121.3% exceeds maximum (85%)
- Provide adverse action notice to borrower
- Document specific decline reasons per regulatory requirements